

1 **UNITED STATES DISTRICT COURT**
2 **CENTRAL DISTRICT OF CALIFORNIA**
3 **Western Division**

4 SECURITIES AND EXCHANGE
5 COMMISSION,

6 Plaintiff,

7 vs.

8 TKO FARMS, INC, a private
9 Wyoming Corporation; AGRAVITAE,
10 INC., a private Wyoming Corporation;
11 KENNETH DEWAYNE OWEN, an
12 individual; REYNALDO AGUILAR
13 (JR.), an individual; JAMES BRIAN
14 BLAYLOCK, an individual; ROSS
15 GREGORY ERSKINE, an individual,
16 and the ESTATE OF GILBERT
17 ALLAN PENHOLLOW,

18 Defendants,

19 and

20 FREELIFE LOGISTICS LLC, a
21 private Wyoming Limited Liability
22 Company; PERSONAL GROUP, LLC,
23 a private Nevada Limited Liability
24 Company; SIGNATURE ONE
25 CAPITAL INC, a private Nevada
26 Corporation; and STORBER, LLC, a
27 private California Limited Liability
28 Company,

 Relief Defendants.

Case No. 8:22-cv-00941-AH-KES

**~~[PROPOSED]~~ FINAL JUDGMENT AS
TO DEFENDANT JAMES BRIAN
BLAYLOCK AND FREELIFE
LOGISTICS, LLC**

NOTE CHANGES MADE BY COURT

**FINAL JUDGMENT AS TO DEFENDANT JAMES BRIAN BLAYLOCK AND
FREELIFE LOGISTICS, LLC.**

The Court, having granted Plaintiff Securities and Exchange Commission's ("SEC" or "Commission") Motion for Default Judgment and Request For Remedies ("Motion") (Dkt. No. 222), imposes on Defendants James Brian Blaylock and FreeLife Logistics, LLC ("Defendants") the following final judgment consistent with that ruling.

I.

IT IS HEREBY ORDERED, ADJUDGED, AND DECREED that Defendant Blaylock is permanently restrained and enjoined from violating Section 5 of the Securities Act [15 U.S.C. § 77e] by, directly or indirectly, in the absence of any applicable exemption:

(a) Unless a registration statement is in effect as to a security, making use of any means or instruments of transportation or communication in interstate commerce or of the mails to sell such security through the use or medium of any prospectus or otherwise;

(b) Unless a registration statement is in effect as to a security, carrying or causing to be carried through the mails or in interstate commerce, by any means or instruments of transportation, any such security for the purpose of sale or for delivery after sale; or

(c) Making use of any means or instruments of transportation or communication in interstate commerce or of the mails to offer to sell or offer to buy through the use or medium of any prospectus or otherwise any security, unless a registration statement has been filed with the Commission as to such security, or while the registration statement is the subject of a refusal order or stop order or (prior to the effective date of the registration statement) any public proceeding or examination under Section 8 of the Securities Act [15 U.S.C. § 77h].

IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as

1 provided in Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also
2 binds the following who receive actual notice of this Final Judgment by personal
3 service or otherwise: (a) Defendant's officers, agents, servants, employees, and
4 attorneys; and (b) other persons in active concert or participation with Defendant or
5 with anyone described in (a).

6 **II.**

7 IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that
8 Defendant Blaylock is permanently restrained and enjoined from violating, directly or
9 indirectly, Section 15(a) of the Exchange Act [15 U.S.C. § 78o(a)] by making use of
10 the mails or any means or instrumentality of interstate commerce to effect any
11 transactions in, or to induce or attempt to induce the purchase or sale of, any security,
12 without being registered as a broker and/or dealer pursuant to Section 15(b) of the
13 Exchange Act [15 U.S.C. § 78o(b)].

14 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as
15 provided in Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also
16 binds the following who receive actual notice of this Final Judgment by personal
17 service or otherwise: (a) Defendant's officers, agents, servants, employees, and
18 attorneys; and (b) other persons in active concert or participation with Defendant or
19 with anyone described in (a).

20 **III.**

21 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that pursuant to
22 Section 21(d)(1) and (5) of the Exchange Act [15 U.S.C. §§ 78u(d)(1) and (5)] and
23 Section 20(b) of the Securities Act [15 U.S.C. § 77t(b)], Defendant is permanently
24 restrained and enjoined from, directly or indirectly, including, but not limited to,
25 through any entity owned or controlled by Blaylock, soliciting any person or entity to
26 purchase or sell any security.

27 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as
28 provided in Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also

1 binds the following who receive actual notice of this Final Judgment by personal
2 service or otherwise: (a) Defendant's officers, agents, servants, employees, and
3 attorneys; and (b) other persons in active concert or participation with Defendant or
4 with anyone described in (a).

5 **IV.**

6 IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that
7 Defendant Blaylock is liable for a civil penalty in the amount of \$100,000.00
8 pursuant to Section 20(d) of the Securities Act [15 U.S.C. § 77t(d)] and Section
9 21(d)(3) of the Exchange Act [15 U.S.C. § 78u(d)(3)]. Defendant shall satisfy this
10 obligation by paying \$100,000.00 to the Securities and Exchange Commission within
11 30 days after entry of this Final Judgment.

12 Defendant may transmit payment electronically to the Commission, which will
13 provide detailed ACH transfer/Fedwire instructions upon request. Payment may also
14 be made directly from a bank account via Pay.gov through the SEC website at
15 <http://www.sec.gov/about/offices/ofm.htm>. Defendant may also pay by certified
16 check, bank cashier's check, or United States postal money order payable to the
17 Securities and Exchange Commission, which shall be delivered or mailed to

18 Enterprise Services Center
19 Accounts Receivable Branch
20 6500 South MacArthur Boulevard
21 Oklahoma City, OK 73169

22 and shall be accompanied by a letter identifying the case title, civil action number,
23 and name of this Court; James Brian Blaylock and FreeLife as defendants in this
24 action; and specifying that payment is made pursuant to this Final Judgment.

25 Defendant shall simultaneously transmit photocopies of evidence of payment
26 and case identifying information to the Commission's counsel in this action. By
27 making this payment, Defendant relinquishes all legal and equitable right, title, and
28 interest in such funds and no part of the funds shall be returned to Defendant.

1 The Commission may enforce the Court’s judgment for penalties by the use of
2 all collection procedures authorized by law, including the Federal Debt Collection
3 Procedures Act, 28 U.S.C. § 3001 et seq., and moving for civil contempt for the
4 violation of any Court orders issued in this action. Defendant shall pay post
5 judgment interest on any amounts due after 30 days of the entry of this Final
6 Judgment pursuant to 28 U.S.C. § 1961. The Commission shall hold the funds,
7 together with any interest and income earned thereon (collectively, the “Fund”),
8 pending further order of the Court.

9 The Commission may petition this Court and propose a plan to distribute the
10 Fund subject to the Court’s approval. Such a plan may provide that the Fund shall be
11 distributed pursuant to the Fair Fund provisions of Section 308(a) of the Sarbanes-
12 Oxley Act of 2002. The Court shall retain jurisdiction over the administration of any
13 distribution of the Fund and the Fund may only be disbursed pursuant to an Order of
14 the Court.

15 Regardless of whether any such Fair Fund distribution is made, amounts
16 ordered to be paid as civil penalties pursuant to this Judgment shall be treated as
17 penalties paid to the government for all purposes, including all tax purposes. To
18 preserve the deterrent effect of the civil penalty, Defendant shall not, after offset or
19 reduction of any award of compensatory damages in any Related Investor Action
20 based on Defendant’s payment of disgorgement in this action, argue that he is entitled
21 to, nor shall he further benefit by, offset or reduction of such compensatory damages
22 award by the amount of any part of Defendant’s payment of a civil penalty in this
23 action (“Penalty Offset”). If the court in any Related Investor Action grants such a
24 Penalty Offset, Defendant shall, within 30 days after entry of a final order granting
25 the Penalty Offset, notify the Commission’s counsel in this action and pay the amount
26 of the Penalty Offset to the United States Treasury or to a Fair Fund, as the
27 Commission directs. Such a payment shall not be deemed an additional civil penalty
28 and shall not be deemed to change the amount of the civil penalty imposed in this

1 Judgment. For purposes of this paragraph, a “Related Investor Action” means a
2 private damages action brought against Defendant by or on behalf of one or more
3 investors based on substantially the same facts as alleged in the Complaint in this
4 action.

5 **V.**

6 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that this Court
7 shall retain jurisdiction of this matter for the purposes of enforcing the terms of this
8 Final Judgment.

9 **VI.**

10 There being no just reason for delay, pursuant to Rule 54(b) of the Federal
11 Rules of Civil Procedure, the Clerk is ordered to enter this Final Judgment forthwith
12 and without further notice.

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14 IT IS SO ORDERED.

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16 Dated: July 21, 2026

17 
18 THE HON. ANNE HWANG
19 United States District Judge
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